

to ascertain (the rarer the event, the fuzzier the odds). We can have a clear idea of the consequences of an event, even if we do not know how likely it is to occur. I don't know the odds of an earthquake, but I can imagine how San Francisco might be affected by one. This idea that in order to make a decision you need to focus on the consequences (which you can know) rather than the probability (which you can't know) is the *central idea of uncertainty*. Much of my life is based on it.

You can build an overall theory of decision making on this idea. All you have to do is mitigate the consequences. As I said, if my portfolio is exposed to a market crash, the odds of which I can't compute, all I have to do is buy insurance, or get out and invest the amounts I am not willing to ever lose in less risky securities.

Effectively, if free markets have been successful, it is precisely because they allow the trial-and-error process I call “stochastic tinkering” on the part of competing individual operators who fall for the narrative fallacy—but are effectively collectively partaking of a grand project. We are increasingly learning to practice stochastic tinkering without knowing it—thanks to overconfident entrepreneurs, naïve investors, greedy investment bankers, and aggressive venture capitalists brought together by the free-market system. The next chapter shows why I am optimistic that the academy is losing its power and ability to put knowledge in straitjackets and that more out-of-the-box knowledge will be generated Wiki-style.

In the end we are being driven by history, all the while thinking that we are doing the driving.

I'll sum up this long section on prediction by stating that we can easily narrow down the reasons we can't figure out what's going on. There are: a) epistemic arrogance and our corresponding future blindness; b) the Platonic notion of categories, or how people are fooled by reductions, particularly if they have an academic degree in an expert-free discipline; and, finally c) flawed tools of inference, particularly the Black Swan-free tools from Mediocristan.

In the next section we will go deeper, much deeper, into these tools from Mediocristan, into the “plumbing,” so to speak. Some readers may see it as an appendix; others may consider it the heart of the book.

* This chapter provides a general conclusion for those who by now say, “Taleb, I get the point, but what should I do?” My answer is that if you got the point, you are pretty much there. But here is a nudge.

* Dan Gilbert showed in a famous paper, “How Mental Systems Believe,” that we are not natural skeptics and that not believing required an expenditure of mental effort.